

IN THE HONOURABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA,
SITTING IN ITS MARCH TERM, A. D. 2025.

BEFORE HER HONOR: SIE-A-NYENE G. YUOH CHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE ... ASSOCIATE JUSTICE
BEFORE HIS HONOR : YUSSIF D. KABA ASSOCIATE JUSTICE
BEFORE HIS HONOR : YAMIE QUIQUI GBEISAY, SR.... ASSOCIATE JUSTICE
BEFORE HER HONOR: CEATNEH D. CLINTON-JOHNSON.....ASSOCIATE JUSTICE

The Government of the Republic of Liberia represented by)
and through the Minister of Justice/Attorney General, Cllr. N.)
Oswald Tweh, the Deputy Ministers and Assistant Ministers,)
and all other Officers acting under the control and authority)
of the Government of Liberia through the Ministry of Justice)
..... 1st Appellant)

And)

The Government of the Republic of Liberia represented by)
the Minister of Transport, Hon. Sirleaf Ralph Tyler, and all)
deputies and assistant ministers acting under the control)
and authority of the City of Monrovia, Liberia)
..... 2nd Appellant)

Versus)

Modern Development & Management Corporation (MDMC),)
represented by and thru its Chief Executive Officer (CEO),)
Mr. John S. Youboty, Sr., of the City of Monrovia, County of)
Montserrado, Liberia..... Appellee)

) Appeal

GROWING OUT OF THE CASE:

Modern Development & Management Corporation (MDMC),)
represented by and thru its Chief Executive Officer (CEO),)
Mr. John S. Youboty, Sr., of the City of Monrovia, County of)
Montserrado, Liberia..... Petitioner)

Versus)

The Government of the Republic of Liberia represented by)
and through the Minister of Justice/Attorney General, Cllr. N.)
Oswald Tweh, the Deputy Ministers and Assistant Ministers,)
and all other Officers acting under the control and authority)
of the Government of Liberia through the Ministry of Justice)
..... 1st Respondent)

And)

The Government of the Republic of Liberia represented by)
the Minister of Transport, Hon. Sirleaf Ralph Tyler, and all)
deputies and assistant ministers acting under the control)
and authority of the City of Monrovia, Liberia)
..... 2nd respondent)

And)

) Petition for the
) Writ of
) Prohibition

Public Procurement and Concession Commission (PPCC)
Represented by its Executive Director, Mr. Bodger Scott
Johnson, and all Directors Members of the Board of
Commissioners acting under its Control and the authority
of the Republic of Liberia..... 3rd Respondent

And

The Ministry of Finance and Development Planning
represented by its Minister, Hon. Augustine Kpehe Ngafuan
all deputies and Assistant Ministers acting under the control
and authority of the Republic of Liberia..... 4th Respondent

And

The Liberia Revenue Authority (LRA), represented by its
Commissioner General, Hon. Dorbor Jallah, and all its
Deputies and Assistant Commissioners acting under it
control and authority of the Republic of Liberia
..... 5th Respondent

Heard: March 26, 2025

Decided: May 28, 2025

MR. JUSTICE KABA DELIVERED THE OPINION OF THE COURT

This appeal emanates from a ruling of our distinguished colleague, His Honor Yamie Quiqui Gbeisay, Sr., then presiding in the Chambers of this Court, on a petition for a writ of prohibition filed by the appellee, Modern Development & Management Corporation (MDMC), against the Government of Liberia, through the Ministry of Justice, 1st respondent, the Ministry of Transport, 2nd respondent, the Public Procurement and Concession Commission, 3rd respondent, the Ministry of Finance and Development Planning, 4th respondent, and the Liberia Revenue Authority, 5th respondent. The Chambers Justice's ruling, the subject of this appeal, captured the essential facts in the parties' respective pleadings and the reasons given by the Chambers Justice for the issuance of the writ of prohibition. We reproduce the same verbatim below.

"On January 22, 2025, the petitioner, Modern Development & Management Corporation (MDMC), filed before the Justice presiding in Chambers, His Honor Yamie Quiqui Gbeisay, Sr., a petition for the issuance of a writ of prohibition against the Government of Liberia, through the Ministry of Justice, the Ministry of Transport, the Public Procurement and Concession Commission, the Ministry of Finance and Development Planning (MFDP), and the Liberia Revenue Authority (LRA), as 1st, 2nd, 3rd, 4th, and 5th respondents, respectively, alleging that it entered two Public Private Partnership Agreements (PPP Contracts) with the 1st respondent, the Government of Liberia, for (1) the production and registration of motor vehicles license plates and (2) the upgrade, operate and management of the automation of motor vehicle and driver's license process for the Ministry of Transport, on June 15, 2020, and April 15, 2023, respectively.

This petitioner also alleged that the 2nd respondent, the Ministry of Transport, as the direct representative of the 1st respondent, signed the PPP Contract for on behalf of the 1st respondent, and also as the implementing arm of the project, is responsible for the performance of the obligations of the 1st respondent; that the 2nd respondent allegedly relied upon the advice of the 3rd respondent, the Public Procurement and Concession Commission (PPCC), to unilaterally terminate the Contracts without according the petitioner due process guaranteed by the Liberian Constitution (1986); that the 3rd respondent, the PPCC, as an instrumentality of the 1st respondent, responsible to regulate and monitor all forms of public procurement and concession practices in Liberia, is alleged to have conducted a review of the procurement process for the award of the two contracts, the PPP Agreement, and advised the 2nd respondent to unilaterally terminate the Contracts, and retendered same without a hearing consistent with due process of law and PPCC Act, as amended; that the 4th and 5th respondents, the MFDP and LRA, as instrumentalities, or ministry and agency of the 1st respondent, with responsibility to implement the terms of the Contracts, and to also perform the obligations of the 1st respondent as enshrined in the contract document, did also sign the said contracts on behalf of the 1st respondent.

The petitioner further averred that each of the contracts has a nine (9) year duration as of the effective dates, that is, the contract for the production and registration of motor vehicles' license plates commenced on June 15, 2020, and should have expired on June 15, 2029, while the contract to upgrade, operate and manage the automation of motor vehicle and drivers' license process for the Ministry of Transport, commenced on April 15, 2023, and should have expired on April 14, 2033; that since the inception of the contracts, the parties have performed their respective obligation without default until January 3, 2025, when the petitioner received a "formal notification" dated December 31, 2024, from the 2nd respondent, the Ministry of Transport, informing the petitioner that (i) the contract will be retendered, and that (ii) the "notification" constitutes a notice of termination of the contracts on ground that the PPCC, as authorizing authority, reviewed the contract award process and determined that the extension of the contract duration beyond the originally planned five (5) years was inconsistent with established procedures; that also, on the same December 31, 2024, the 2nd respondent, the Ministry of Transport, published a request for the Expression of Interest in several local dailies and its website, for retendering of the contracts in flagrant disregard to the sanctity of contracts and the obligations of the parties to the detriment of the petitioner, having invested millions of United States Dollars into the contracts for implementation considering the duration thereof.

The petitioner also averred that upon receipt of the said "notification", and by a letter dated January 10, 2025, it addressed to the 2nd respondent, rejected the notification, termed it as illegal and invalid because neither the 1st respondent nor the 2nd respondent has the right to terminate the said contracts, especially, with reasons stated in the notification; that the 3rd respondent could not have reviewed the said extension of the contracts without a complaint or a review process initiated by the 2nd respondent, and to the exclusion of the petitioner; that predicate upon a receipt of a notification from the 2nd respondent dated June 6, 2020, informing petitioner that the contracts duration extension had been granted, the petitioner relied upon said notification and made significant investment in the performance and implementation of the contracts from which the respondents have benefitted, and are therefore prohibited from using the said extension as ground for a unilateral termination of the contracts.

The petitioner concluded that though the contracts' terms grant unto the respondents the right to terminate without stating a reason or fault on the part of the petitioner, said termination is subject to a mandatory arbitration consistent with Subsection 16.2.3, Section 18, and Subsection 18.4 of the contracts documents; that the reason given by the 2nd respondent for the termination and retendering of the contracts is not any of the grounds stated therein. The petitioner attached to its petition copies of the contract documents, the letter of notification, the request for Expression of Interest, and the petitioner's response to the notification to support its petition.

Upon receipt of the petitioner's petition, the Chambers Justice cited the parties to a conference, issued the alternative writ of prohibition, and further instructed the respondents to file their respective returns on or before February 5, 2025. In obedience thereto, the 1st respondent, the Government of Liberia, through the Ministry of Justice, the 2nd respondent, the Ministry of Transport, and the 5th respondent, the LRA, through their legal representatives, filed returns, respectively, on February 5, 2025.

In its returns, the 1st respondent, the Government of Liberia, contended that on September 11, 2018, the Government of Liberia, under the regime of former President George M. Weah, entered a Concession agreement with the Liberia Traffic Management Incorporated (LTMI), granting LTMI the right to finance, design, build, operate, maintain, and transfer a vehicle and traffic management system, inclusive of a traffic ticketing managing system; a vehicle towing and impoundment management system, a car parking system, a vehicle inspection system, and driver testing and certification; that LTMI was also entitled to or charged with the responsibility of providing drivers' license system, vehicle registration system and motor vehicle offices, no later than sixty (60) days following the expiry of an existing contract with Techno Bria Global FZE; that the said Concession agreement was ratified by the Legislature, signed into law by the President Liberia and printed into handbill by the Ministry of Foreign Affairs, January 2019; that by the ratification of the said Concession agreement, it became a statute with full force of law and the rights contained therein were superior to any other rights conveyed by the Government before and after the enactment of said statute; that a statute can only be challenged based on claims of unconstitutionality on ground that such statue is in conflict with the Constitution and if anyone believes that his/her constitutional rights are being injured he/she has remedy at law by an "In Re" before the full bench of the Supreme Court, not before a Justice in Chambers.

The 1st respondent further asserts that it is its constitutional prerogative to enforce the laws of Liberia without discrimination, including the LTMI Act of 2018, and that consistent with the communication from the Liberia Senate to the President of Liberia, H.E. Joseph N. Boakai, who in response, addressed a communication to the Ministry of Transport in connection with the said LTMI agreement, it has scrupulously enforced same and has no intention to violate said agreement but to solicit potential firm to implement rights conveyed under the LTMI agreement; that the publication for the Expression of Interest made by the 2nd respondent, the Ministry of Transport, contravenes the LTMI Act hence, it advised to discontinue and withdraw said publication for tender which has since been withdrawn, therefore, makes the petition moot; that the Public Private Partnership (PPP) been referenced has a dispute resolution process, which

should not be done through the court, but through arbitration; that the Justice in Chambers should deny the petition for lack of jurisdiction.

The 2nd respondent, the Ministry of Transport, filed returns and contended that the bid documents 2020 for the production and registration of motor vehicle license plates was intended for five (5) years but when there was a change in administration, President Boakai having ascended to the Presidency, it, the 2nd respondent, realized that instead of five years as intended, the contract was signed for nine (9) years; that upon notice of the nine (9) years, it communicated with the PPCC to inquire the procurement process and the number of years the bid was intended for, which the PPCC confirmed that the bid was for five (5) year but instead signed for nine (9) years; that it informed the petitioner that it would do an adjustment to reflect the five years, the contracts retendered, and that notification given to the petitioner informing it that the contract would be terminated; that it was illegal for the petitioner sign the contract for nine (9) years thereby giving it, the 2nd respondent the right to protect the procurement process as was indicated in the PPCC's response confirming the contract period for five (5) years; that at no time it did violate the contracts and therefore stands by its action to terminate the contracts and retender them to reflect exactly what it wants from its contractors, that is, to product driver's license and the registration of motor vehicles. The 2nd respondent prayed the Chambers Justice to decline the issuance of the alternative writ of prohibition against it and to declare that its action is legal.

For its part, the 5th respondent, the LRA, gave a general denial and contended that the petition could not lie against it because the petitioner miserably failed to state with specificity any wrong that it, the 5th respondent, committed against the petitioner relative to allegations contained in the petition. Hence, it prayed the Chambers Justice to deny the issuance of the alternative writ of prohibition against it.

After the parties rested with pleadings, the Chambers Justice entertained arguments and thereafter entered a final ruling determining that prohibition would lie to prevent the appellants from terminating the two contracts consummated with the appellee by requiring the appellee to retender a bid for the identical project for which the two contracts were consumed. The appellants enter exceptions and appeal from this final ruling. Pleadings having rested and arguments entertained from counsels representing the parties, the lone issue determinative of this case is whether or not prohibition will lie under this circumstance?

The facts found in the records are not disputed as there was a contractual engagements between the parties, the petitioner and the respondents, for the production and registration of motor vehicle license plates, on the one hand, and the upgrade, operate and management of the automation of motor vehicle and driver's license processes for the Ministry of Transport, the 2nd respondent, on the other. However, what is of contention is that the respondents, especially, the 2nd respondent contends that the contract's extension, from five (5) years to nine (9) years was procure illegally, hence, it had the right to terminate same forthwith, and retender same to protect the procurement process. However, this Court sees a contrast from the 1st respondent, the Government of Liberia, through the Ministry of Justice, that it has the statutory responsibility to protect the sanctity of contracts, especially where a contract was entered with LTMI and ratified by the Government of Liberia through the Legislature in 2018, it became a

law that needed not to be violated, hence, it advised the 2nd respondent to discontinue the retainer.

These arguments by the 1st and 2nd respondents create doubt in the mind of this Court in that they are at variance, each providing a separate and distinct argument and justification to support its action against the petitioner, which is not tenable. The Court wonders how could they, the respondents, especially the 2nd respondent who is the direct regulatory agent of the 1st respondent, knowing that its principal had entered a contractual agreement with LTMI and that said agreement not extinguished, but in full force, as asserted by the 1st respondent, would, in concert with the other respondents, entered a subsequent contractual agreement with the petitioner in 2020 and 2023, respectively, for similar services?

Additionally, the records showed that the contracts, subject of this petition, were entered in 2020 and 2023 and that since their inception, the parties thereto have each performed their side of the agreement, and also, there is no showing in the records that was in breach of any of the provisions of the said agreement. In view of this, the question that begs for an answer is, were the respondents, principally the 2nd respondent, the Ministry of Transport, the direct beneficiary and supervisory arm of the 1st respondent, not aware that the contracts were signed for nine (9) years as against initial five (5) years.

Assuming that the 2nd respondent was not aware, which is not the case, because the records show that the extension was at the request of the respondents, who, upon the realization that the tasks to be performed by the petitioner were enormous and time-consuming, evidenced by a communication of June 6, 2020. Moreover, this Court says that extending the contract period from five (5) years to nine (9) years without its consent and knowledge, as insinuated by the 2nd respondent, is not a ground for a unilateral termination of the contracts as is done in the instant case. The 2nd respondent, upon review of the contract document and found out that the duration is against the period initially agreed upon, should have cited the petitioner to a conference and inquire as to what necessitated the change into the contract duration. It not having done so, it was arbitrary on the part of the 2nd respondent to have terminated the contracts without first according the petitioner the opportunity to provide reasons, if any, why the duration was extended to nine (9) years. This Court must emphasize that due process is a fundamental right guaranteed by the Constitution (1986), and decisional laws of the Supreme Court of Liberia. It is the law that hears before it condemns. The Supreme Court has held in a long line of Opinions that "due process of law is fundamental and extends to all governmental proceedings which may interfere with personal or property rights, whether the proceeding is legitimate, judicial, administrative or executive". *Liberia Telecommunications Authority v. West African Inc.*, Supreme Court Opinion, March Term, 2009; *William v. Tah*, Supreme Court Opinion, March Term, 2011; *Wolo v. Wolo*, 5 LLR 423 (1937).

Additionally, the justification given by 1st respondent that it has the statutory responsibility to protect the sanctity of contracts, though not under debate, the fact that it knowingly entered an agreement with the petitioner for similar services being allegedly performed by LTMI through an agreement it also entered in 2018 with the latter, is double standard, and a dereliction of duty, the court holds that the Ministry of Justice (MOJ) statutory duty to protect the sanctity of court is not arguable but same must be done within the pale of the law. The only legal

procedure for the termination of a contract known to this jurisdiction is through mutual agreement or by a judgment of the court of competent jurisdiction.

In consonance with what has been said, this Court concludes and says that contracts, subject of this petition, contain provisions that the roadmap by which termination is had, and same must be complied with by the respondents. The Supreme Court has consistently held that prohibition will lie to halt arbitrariness. "Prohibition is granted to prevent arbitrariness, usurpation or improper assumption of jurisdiction on the part of the inferior tribunal". *Togba v. RL*, 35 LLR 389 (1988); *Chariff Pharmacy v. Pharmacy Board of Liberia et al.*, 37 LLR 135 (1993); *Fazzah v. NEC*, 8 LLR 85 (1943). Prohibition, as defined by the Black's Law Dictionary, Ninth Edition, page 1331, is an extraordinary writ issued by an appellate court to prevent a lower court from exceeding its jurisdiction or to prevent a non-judicial officer or entity from exercising power.

WHEREFORE, AND IN VIEW OF THE FOREGOING, the petition for a writ of prohibition is granted, the alternative writ issued, confirmed. The Clerk of this court is hereby ordered to send a mandate to the parties involved commanding them to give effect to this ruling. IT IS HEREBY SO ORDERED."

The appellant entered exceptions and announced an appeal to this Court of last resort for review of our distinguished colleague's final ruling.

Considering the Chambers Justice's final ruling, the briefs filed by the parties, and the arguments presented before this Court, the issue that is dispositive of this appeal is whether Chambers Justice erred when he determined that prohibition will lie to correct the alleged unilateral termination of the Public-Private Agreements consummated by and between the appellants and the appellee.

The relevant facts in this matter are undisputed. The facts show that the appellants and the appellee consummated two Public Private Partnership Agreements (PPP Contracts) that contained an arbitration clause as a dispute resolution mechanism. These PPP Contracts were signed on behalf of the appellants by the then Ministers of Transport, Financial and Development Planning, Justice, and the Director General of the Liberia Revenue Authority and for the appellee, Mr. John S. Youboty, Sr. General Manager/Chief Executive Officer, of the appellee's company; that while these Public Private Partnership Agreements (PPP Contracts) were in effect, the appellants required the appellee to retender a bid for the contracts to perform the same task that the appellee was performing under the PPP Contracts. The appellee instituted the petition for prohibition

against the appellants on the ground that the actions of the appellants were arbitrary, capricious, without any legal basis, and not one of the reasons detailed in section 16 of the two PPP Contracts consummated by and between the parties. The appellee further averred in its petition that this action by the appellants violates its rights to due process as enshrined in Article 20(a) of the Liberian Constitution. It, therefore, prays that the Chambers Justice order the issuance of the alternative writ of prohibition and order the appellants to stay all further actions in respect of the termination and retendering of the appellee's contracts and declare the action of the appellants void ab initio. In support of the Chambers Justice's ruling, the appellee averred in its brief and argued before this Court that prohibition will lie to grant relief to a party by undoing that which has been unlawfully done; that the Ministry of Justice (MOJ) statutory responsibility to protect the sanctity of contract is not arguable but same must be done within the pale of the law; that the only legal procedure for the termination of contract known to this jurisdiction is thru mutual agreement or by a judgment of the court of competent jurisdiction.

The first appellant brought to the court's attention that the government had previously consummated a concession agreement with Liberia Traffic Management Incorporated, which was ratified by an act of the legislature before the two PPP Contracts were entered into with the appellees. The first appellant, therefore, argued that the legislature's ratification of this Concession Agreement, being a law, supersedes all other agreements touching on the same subject; consequently, the government was duty-bound to honor the terms and conditions of that concession agreement.

Relative to the second appellant, they averred that the PPP Contracts consummated with the appellee were without the pale of the law since the bid put out for the contract was for five (5) years, and the contracts consummated were for nine (9) years. The additional four (4) years granted under the contracts were illegal, necessitating a request for retendering to conform the contracts to the PPCC's regulations. The fifth appellant averred in its returns that it had no knowledge about the pertinent allegation against it as contained in the appellee's petition. Therefore, prohibition could not and ought not to lie against it.

In the joint brief filed by the appellant before this Court, they argued that the Chambers' Justice's ruling was erroneous due to the fact that the LTMI Contract, having been ratified by the Legislature, holds statutory authority superior to the appellee's contract; that prohibition is inapplicable to non-judicial actions and should not be used to resolve contractual disputes; that arbitration clause in the appellee's contract precludes the court from exercising jurisdiction over the dispute; that the appellee's contract is void for violating the GOL-LTMI Concession Act, and the court cannot mandate the appellants to proceed with an unlawful agreement.

In the final ruling of our colleague, as quoted herein, he agreed with the appellee that the appellants' action was arbitrary and a violation of the appellee's due process right and that prohibition would lie to correct the illegal action of the appellants. He relied on the cases *Togba v. RL*, 35 LLR 389 (1988); *Chariff Pharmacy v. Pharmacy Board of Liberia et al.*, 37 LLR 135 (1993); *Fazzah v. NEC*, 8 LLR 85 (1943). The Chambers Justice also relied on Black's Law Dictionary definition of prohibition as "an extraordinary writ issued by an appellate court to prevent a lower court from exceeding its jurisdiction or to prevent a non-judicial officer or entity from exercising judicial power."

Considering all that have been said hereinabove, the question that confronts this Court is whether the Chambers Justice properly determined that prohibition will lie, considering the facts in this case.

We agree with our colleague's reliance on the definition of prohibition by the black's Law Dictionary as an extraordinary writ issued by an appellate court to prevent a lower court from exceeding its jurisdiction or a non-judicial officer or entity from exercising judicial power. Applying this definition to the case under review, it is clear that the appellants are non-judicial entities and officers; therefore, for prohibition to lie against them, it must be established that the acts allegedly committed by them were of a form and species that would constitute exercising judicial power. This Court has held in the case *Kruah v Weah* 42 LLR 148,156 (2004) that "While prohibition will not ordinarily lie to control administrative or

ministerial acts, nevertheless when an administrative or executive board or tribunal is acting in a judicial or quasi-judicial capacity, prohibition will lie where it is acting without jurisdiction or in excess of its jurisdiction." Considering the facts in this matter, the appellants and the appellee entered agreements, and the appellee is alleging that the act of the appellants in terminating the said agreement was a violation of its due process rights, and therefore, prohibition will lie. However, to the mind of this Court, the act complained of by the appellee grew out of a contractual relationship consummated by and between the 1st and 2nd appellants and the appellee and not out of the exercise of a judicial or quasi-judicial authority of the appellants as an administrative or executive board or tribunal and is nothing more than a breach of contract on the part of the appellants and not an exercise of a judicial or quasi-judicial function, irrespective of the fact that the appellants are public institutions. The law is clear that a public institution and officers acting within the scope of their authorities may sue and may be sued. "A public corporation entering into an agreement and violating the terms of that agreement is not the exercise of a judicial or quasi-judicial function. The party injured by such an act has ample remedy under the law. This Court has held that the prerogative or extraordinary writ of prohibition will not lie for grievances that may be redressed in the ordinary course of judicial proceedings by other remedies provided by law. *Washington v Ash-Thompson* 34 LLR 219, 224 (1986), and that prohibition can only be granted in cases of manifest necessity where other remedies are not available. *Henries et al v Fahnbulleh et al* 42 LLR 446,460 (2005). In the case under review, the PPP Agreements are contracts, and as such, a violation of the terms of such contracts attracts remedies under the law. Moreover, the PPP Agreements in question contained an arbitration clause to address injuries caused by either of the parties under the terms of the contracts. The appellee, therefore, has ample remedies available to address the alleged wrong perpetrated by the appellants against it. Prohibition cannot be used to determine the substantive rights of the parties.

Prohibition is inapplicable to non-judicial actions and should not be used to resolve contractual disputes. Prohibition will not lie where the legality of a contract is challenged. For the reasons stated herein, we disagree with our

colleague's conclusion that prohibition would lie under the facts of this case. However, this does not preclude other remedies that may be available to the appellee.

WHEREFORE AND IN VIEW OF THE FOREGOING, the final ruling of the Chambers justice is reversed; the alternative writ issued is ordered quashed, and the peremptory writ prayed for is denied. The Clerk of this Court is hereby ordered to send a Mandate to the parties informing them of this decision. Costs are disallowed. AND IT IS HEREBY SO ORDERED.

WHEN THIS CASE WAS CALLED FOR HEARING, COUNSELLOR ABRAHAM B. SILLAH, SR., OF HERITAGE PARTNERS & ASSOCIATES, LLC APPEARED FOR THE APPELLEE. COUNSELLORS AUGUSTINE C. FAYIAH, SOLICITOR GENERAL OF THE REPUBLIC OF LIBERIA AND JOEL ELKANAH THEOWAY OF THE MINISTRY OF JUSTICE, APPEARED FOR THE 1ST AND 2ND APPELLANTS.